LEVERAGED BUYOUT MODEL - PROJECT LIGHTYEAR

Target: WidgetCo Industrials, Inc. | Sources & uses, debt schedule with cash sweep, sponsor returns

Contents

Assumptions Transaction terms, financing structure, operating drivers, exit

SourcesUses Uses and sources at close with the sponsor equity plug and a balance check

DebtSchedule Operating FCF, mandatory amortisation + 100 percent cash sweep, credit statistics

Returns Exit equity, MOIC and IRR over the 5-year hold, with an IRR cross-check

Sensitivity IRR and MOIC grids across entry and exit EV/EBITDA multiples (exact recomputation)

Conventions: blue font = input (change these); black = formula; green = link from another tab. All formulas are live a
Interest is charged on beginning-of-period balances (no circular references, slightly conservative).

Units: USD millions unless per share. Illustrative training model with fictitious data - not investment advice.

Prepared 3 Nov 2026 by aminsaifanoa-web

nd auditable.

TRANSACTION ASSUMPTIONS

Blue = input

TRANSACTION	
LTM EBITDA	500.0
Entry EV / E	8.0x
Transaction	3.0%
Holding per	5

FINANCING	
Term Loan I	4.4x
Term Loan I	2,200.0
Term Loan I	9.0%
Term Loan I	5.0%
Senior note	1.2x
Senior note	600.0

Senior note	11.0%
Cash sweep	100%

OPERATING DRIVERS

LTM revenu	1,250.0
Revenue gr	5.0%
EBITDA mar	40.0%
D&A (% of r	4.0%
CapEx (% o	4.0%
Change in N	10.0%
Cash tax rat	25.0%

EXIT

Exit EV / EB	8.0x

SOURCES & USES AT CLOSE (USD mm)

USES	
Purchase	4,000.0
Transactio	120.0
Total uses	4,120.0

SOURCES	
Term Loan	2,200.0
Senior not	600.0
Sponsor equity (plug)	1,320.0
Total sources	4,120.0

% OF TOTAL FUNDING	
Term Loan B	53.4%
Senior notes	14.6%
Sponsor equit	32.0%

Entry statistics	
Gross leve	5.6x
Sponsor e	32.0%

DEBT SCHEDULE & FREE CASH FLOW (USD mm)

Forecast year	Year 1	Year 2	Year 3
Operating results			
Revenue	1,312.5	1,378.1	1,447.0
EBITDA	525.0	551.3	578.8
Depreciation	52.5	55.1	57.9
EBIT	472.5	496.1	520.9
Levered free cash flow			
Less: cash i	-198.0	-184.5	-168.5
Less: cash i	-66.0	-66.0	-66.0
Less: cash t	-52.1	-61.4	-71.6
Less: capita	-52.5	-55.1	-57.9
Less: increa	-6.3	-6.6	-6.9
Free cash flow available for debt paydown	150.1	177.7	207.9
Term Loan B			
Beginning balance	2,200.0	2,049.9	1,872.2
Mandatory amortisation	-110.0	-110.0	-110.0
Cash sweep	-40.1	-67.7	-97.9
Ending balance	2,049.9	1,872.2	1,664.3

Senior notes (bullet, non-amortising)			
Beginning ba	600.0	600.0	600.0
Ending balan	600.0	600.0	600.0
Cash on balance sheet			
Beginning ca	0.0	0.0	0.0
Build-up (FC	0.0	0.0	0.0
Ending cash	0.0	0.0	0.0
Credit statistics (year-end)			
Total debt	2,649.9	2,472.2	2,264.3
Net debt	2,649.9	2,472.2	2,264.3
Net leverage	5.0x	4.5x	3.9x
Interest cove	2.0x	2.2x	2.5x

Year 4	Year 5
1,519.4	1,595.4
607.8	638.1
60.8	63.8
547.0	574.3
-149.8	-128.1
-66.0	-66.0
-82.8	-95.1
-60.8	-63.8
-7.2	-7.6
241.2	277.6
1,664.3	1,423.1
-110.0	-110.0
-131.2	-167.6
1,423.1	1,145.5

600.0	600.0
600.0	600.0
0.0	0.0
0.0	0.0
0.0	0.0
2,023.1	1,745.5
2,023.1	1,745.5
3.3x	2.7x
2.8x	3.3x

SPONSOR RETURNS (USD mm)

Entry	
Sponsor equi	1,320.0
Exit (year 5)	
Exit enterpris	5,105.1
Less: net deb	-1,745.5
Exit equity value	3,359.6
Returns over 5-year hold	
Profit	2,039.6
MOIC (multiple of invested capital)	**2.55x**
IRR	**20.5%**
Cross-checks and statistics	
Check: (1+IRF	OK
Average net l	3.9x
Total net debt	1,054.5
EBITDA grow	27.6%

SENSITIVITY - RETURN GRIDS

Grid A - IRR by entry multiple (rows) x exit multiple (columns)

entry \ exit	6.0x	6.5x	7.0x	7.5x	8.0x	8.5x
6.0x	48.3%	52.6%	56.5%	60.0%	63.2%	66.2%
6.5x	30.6%	34.4%	37.8%	40.9%	43.7%	46.4%
7.0x	20.9%	24.4%	27.6%	30.4%	33.1%	35.5%
7.5x	14.4%	17.7%	20.7%	23.4%	25.9%	28.2%
8.0x	9.6%	12.7%	15.6%	18.2%	20.5%	22.8%
8.5x	5.7%	8.8%	11.5%	14.0%	16.3%	18.5%
9.0x	2.6%	5.5%	8.2%	10.6%	12.9%	14.9%
9.5x	-0.1%	2.8%	5.4%	7.8%	9.9%	11.9%
10.0x	-2.4%	0.4%	3.0%	5.3%	7.4%	9.4%

Grid B - MOIC by entry multiple (rows) x exit multiple (columns)

entry \ exit	6.0x	6.5x	7.0x	7.5x	8.0x	8.5x
6.0x	7.18x	8.28x	9.38x	10.48x	11.58x	12.69x
6.5x	3.81x	4.39x	4.97x	5.55x	6.14x	6.72x
7.0x	2.59x	2.98x	3.38x	3.78x	4.17x	4.57x
7.5x	1.96x	2.26x	2.56x	2.86x	3.16x	3.46x
8.0x	1.58x	1.82x	2.06x	2.30x	2.55x	2.79x
8.5x	1.32x	1.52x	1.73x	1.93x	2.13x	2.33x
9.0x	1.14x	1.31x	1.48x	1.66x	1.83x	2.00x
9.5x	1.00x	1.15x	1.30x	1.45x	1.61x	1.76x
10.0x	0.89x	1.02x	1.16x	1.29x	1.43x	1.57x

Grids recompute the full buyout at each combination of multiples. Because the debt paydown path does not depenc

9.0x	9.5x	10.0x
69.0%	71.6%	74.1%
48.8%	51.1%	53.3%
37.8%	39.9%	41.9%
30.3%	32.4%	34.3%
24.8%	26.7%	28.6%
20.4%	22.3%	24.1%
16.9%	18.7%	20.4%
13.8%	15.6%	17.2%
11.2%	12.9%	14.6%

9.0x	9.5x	10.0x
13.79x	14.89x	15.99x
7.30x	7.88x	8.47x
4.97x	5.36x	5.76x
3.76x	4.06x	4.36x
3.03x	3.27x	3.51x
2.53x	2.74x	2.94x
2.18x	2.35x	2.53x
1.91x	2.06x	2.22x
1.70x	1.84x	1.97x

ɨ on the entry or exit multiples, these grids are exact, not approximations.